Solution

In the books of Pandian

Dr. Trading and Profit and Loss Account for the year ended 31st March, 2016 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Opening stock		30,000	By Sales		59,700
To Purchases		10,000	By Closing Stock		5,000
To Wages		2,500			
To Gross Profit c/d		**22,200**			
		64,700			64,700
To Office telephone expenses		3,500	By Gross profit b/d		22,200
To General expenses		9,000	By Interest on drawings		100
To Interest on capital		7,200	(2000 x5/100)		
(1,20,000 x 6/100)			By Net loss		**1,400**
To Bad debts		2,000	(transferred to capital		
To Provision for bad and			account)		
doubtful debts		2,000			
		23,700			23,700

Balance Sheet as on 31st March, 2016

Liabilities	₹	₹	Assets	₹	₹
Capital	1,20,000		Goodwill		10,500
Less: Net loss	1,400		Business premises		60,000
	1,18,600		Stock in trade		5,000
Add: Interest on capital	7,200		Sundry debtors	22,000	
	1,25,800		Less: Bad debts	2,000	
Less: Drawings and				20,000	
Interest on drawings	2,100	1,23,700	Less: Provision for bad		
(2000+100)			and doubtful debts		
Sundry creditors		22,500	(20,000 x 10/100)	2,000	18,000
			Bills receivable		
			Cash at bank		14,500
			Cash in hand		30,000
					8,200
		1,46,200			1,46,200

Illustration 16

From the trial balance of Ajith and the adjustments given below, prepare trading and profit and loss A/c for the year ended 31st March, 2016 and the balance sheet as on that date.

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